INVESTMENT ANALYSIS

Warehouse Acquisition | NNN Buy-and-Hold

Prospective owner/investor • August 2026 • Ormond Beach, FL

Overview

The model indicates a potentially attractive acquisition at the client-reported $270,000 asking price, provided the property can be leased near the modeled $14.00/SQFT base rent and the NNN structure is supportable by market evidence. Under the primary financing case ($130,000 down-payment), the workbook projects $26,326 of Year 1 NOI (9.75% going-in cap rate), 2.27x DSCR, and a 10.5% Year 1 cash-on-cash return. These are scenario outputs, not verified property performance: the underwriting assumes a stabilized lease and several hypothetical operating, financing, and exit inputs.

Property and operating case

The workbook presents a 2,016-SQFT warehouse acquisition. Client-provided inputs include the $270,000 purchase price, $14.00/SQFT/YR base rent, $4.50/SQFT/YR NNN charges, and 3.5% annual base-rent increases. At the modeled rent, Year 1 scheduled base rent is $28,224; modeled NNN reimbursements are $9,072 and are offset by matching NNN operating costs at a 100% recovery assumption. The model also deducts 3% vacancy/credit loss, a 2% management fee, $0.10/SQFT/YR of non-recoverable expense, and a $0.15/SQFT/YR capital/roof reserve. It assumes 3% annual expense growth. The resulting NOI is therefore net of the modeled reserves and management fee, but still depends on the assumed occupancy and full NNN recovery.

Financing and Hold-period results

Key Metrics	Client case: $130K down-payment	Comparison: 70% LTV
Loan / LTV	$140,000 / 51.9%	$189,000 / 70.0%
Estimated cash to close	$140,450	$91,940
Annual debt service	$11,607	$15,670
Year 1 DSCR / cash flow after debt	2.27x / $14,718	1.68x / $10,656
Year 1 cash-on-cash	10.5%	11.6%

Both modeled cases exceed the workbook's assumed 1.25x minimum DSCR in Year 1. The 70% LTV case uses less initial equity and produces a higher modeled equity return, while increasing leverage and annual debt service. The model uses a hypothetical 6.75% fixed rate, 25-year amortization, and 10-year loan term; actual proceeds, covenants, fees, rate, and balloon/refinance terms require lender confirmation.

Hold period	Gross sale price*	Client case IRR	70% LTV IRR
5 years	$446,872	25.6%	32.4%
8 years	$495,588	21.3%	26.1%
10 years	$530,981	19.9%	24.0%

*Exit values use Year N+1 NOI capitalized at the assumed 7.0% exit cap, less 3.5% selling costs and remaining loan balance in equity proceeds. The model's projected levered IRRs include annual cash flows and sale proceeds, before income taxes. They are sensitive to rent, occupancy, cap rates, etc.

Due Diligence observations and model limitations

- Review the market comparables, Client to verify physical condition, roof/HVAC, zoning/use, environmental status, insurance, real estate taxes, and any deferred capital needs with the corresponding professionals. Based on market data $4.50 NNN accurately represents the area.
- Secure evidence for achievable rent, tenant demand, lease-up timing, concessions, renewal probability, and tenant profile. The separate rent schedule assumes a January 2027 start, a 36-month term, with one-month base rent abatement; the pro forma does not show any rent abatements or any lease-up downtime and continues rent growth through the hold without an explicit rollover/vacancy event.
- Validate the exit cap rate against comparable sales and market conditions. The 7.0% cap rate drives modeled sale values; Further review of delivered market comps and appraisal is necessary.
- Reconcile financing once preferred lender quote is selected and re- model the 10-year maturity/balloon and any refinancing explicitly. The analysis is pre-tax and excludes depreciation, capital-gains tax, depreciation recapture, and 1031 exchange effects.

Conclusion

On the stated assumptions, the acquisition is attractive, however it requires further diligence rather than reliance on the headline returns alone. The strongest case for proceeding is a verified purchase basis and lease economics that support the modeled NOI, with lender terms and exit assumptions tested against current evidence.

Prepared as an illustrative analysis, not an appraisal, offer, or investment recommendation.